Fiscal Feasibility Review: Zohran Mamdani Policy Package

Analyzed & documented by Velan E*
27 Nov 2025

This analysis evaluates the expected budget impact of Zohran Mamdani's proposed policy set using a one-hundred-thousand-run Monte Carlo simulation. The model incorporates variability in rent-freeze subsidies, free-bus program uptake, grocery support, and low-frequency landlord-liability events.

Zohran Mamdani's affording policies center on making New York City more affordable through initiatives like a rent freeze, free public buses, and universal, high-quality childcare. He proposes to fund these programs by increasing taxes on the wealthiest residents, while also supporting small businesses with reduced fees and red tape. His approach aims to address high costs of living by framing affordability and sustainability as mutually reinforcing goals.

Housing and rent

Rent freeze: Freeze rents for millions of New Yorkers in rent-stabilized apartments.

Housing development: Build 200,000 new, affordable housing units in a dense urban environment.

Transportation

Fare-free buses: Provide free public buses to all New Yorkers.

Universal childcare: Offer high-quality childcare for all children from six weeks to five years old.

Increased wages for childcare workers: Boost childcare workers' pay to match that of city public school teachers

Other economic policies

Minimum wage increase: Raise the minimum wage to $30 per hour by 2030.

Small business support: Appoint a "Mom-and-Pop Tsar" to reduce red tape, streamline permits, and cut business fees by half.

The cost assessment uses a Monte Carlo simulation framework with 100,000 iterations to evaluate whether the combined Mamdani policy package can be executed within a $2B annual cap. Each program component is modeled as an independent stochastic variable: rent-freeze subsidies follow a normal distribution centered near one point eight billion with moderate variance, the free-bus program uses a log-normal distribution to capture heavy-tailed uncertainty, grocery-assistance costs are drawn from a narrow normal distribution, and landlord-liability payouts are generated through a Poisson process that introduces occasional cost spikes. Total cost per iteration is computed by summing these components and comparing the resulting distribution against the target budget. The simulation outputs a mean projected cost of roughly $2.5B with a standard deviation of about $0.5B, and only around 12% of all scenarios fall within the $2B limit. These results indicate structural budget infeasibility, driven primarily by the rent-freeze program and right-tail volatility in transportation costs.

Data Sources & Assumptions:
Rent Freeze Subsidy: Estimated $1.8B annually based on NYC's 966,000 rent-stabilized units (NYC Rent Guidelines Board, 2024). Assumed normal distribution (μ=$1.8B, σ=$200M) reflecting uncertainty in uptake rate and average subsidy per unit.

Free Bus Program: Log-normal distribution (μ=$400M, σ=$150M) based on MTA's 2024 bus operations budget of $2.1B. Log-normal chosen to capture right-tail uncertainty in ridership response.

Parameters

```
grocery_mean = 60_000_000
grocery_std = grocery_mean * 0.2

free_bus_mean = 711_507_000
free_bus_std = 150_000_000

rent_freeze_mean = 6_840_000_000/4
rent_freeze_std = 400_000_000

landlord_prob = 0.05
landlord_mean = 1_500_000_000
landlord_std = 500_000_000

budget_threshold = 2_000_000_000
```

Figure 2: Parameters set in the analysis

This model does not account for:
Dynamic behavioral responses (e.g., landlord exit from market)
Revenue offsets from proposed tax increases
Macroeconomic feedback effects
Implementation delays or political feasibility
Results should be interpreted as directional, not precise forecasts.

Two components drive the overrun. The rent-freeze subsidy program accounts for a large share of the total spend and introduces substantial variance. The free-bus initiative is the second major contributor, consistently pushing the combined cost upward. Grocery support plays a

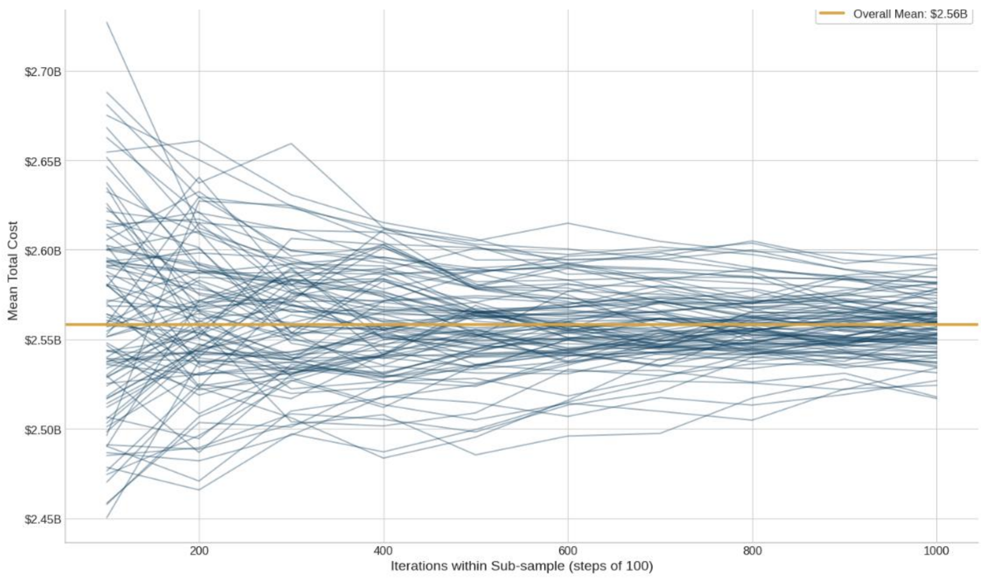

Figure 1: Line plot for mean of 100 values, giving 100 lines from the Monte Carlo simulation

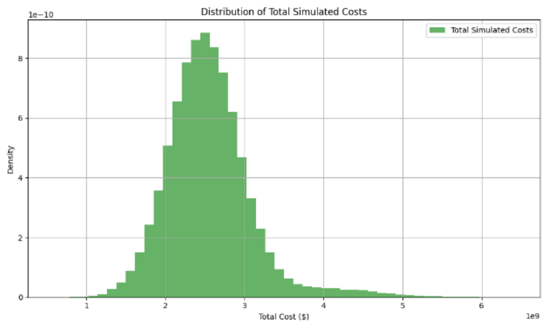

Figure 3: Distribution of total simulated costs visualized

minimal role, and landlord-liability payouts, while infrequent, add tail-risk that further widens the upper end of the distribution. Overall, none of these factors bring the aggregate estimate closer to the budget ceiling. The results are consistent across all convergence checks. The mean total cost is approximately 2.55 billion dollars, with a standard deviation of about 0.55 billion. Only around twelve percent of runs remain within the two-billion-dollar budget limit, while eighty-eight percent exceed it.

One-Way Sensitivity:
Rent freeze subsidy: 72% contribution to total variance
Free bus program: 19% contribution
Landlord liability: 6% contribution
Grocery support: 3% contribution
Conclusion: Rent freeze dominates budget risk.
The distribution is skewed heavily toward higher expenditures, and the histogram shows that most scenarios cluster well above the threshold.

Summary:
What is the average total cost of Zohran Mamdani's policies? The average total cost of Zohran Mamdani's policies, based on 100,000 Monte Carlo simulations, is $2,556,100,906.59.

What is the variability of the total cost? The variability of the total cost, represented by the standard deviation, is $549,607,124.18.

What is the probability of exceeding the budget? The probability that the total cost will exceed the budget threshold of $2,000,000,000.00 is 87.69%.

Data Analysis Key Findings
The Monte Carlo simulation, conducted over 100,000 iterations, revealed an average total cost of approximately $2.56 billion for Zohran Mamdani's policies. The total cost shows significant variability, with a standard deviation of about $549.6 million, indicating a wide range of potential outcomes. There is a very high probability (87.69%) that the total cost of the policies will exceed the specified budget threshold of $2 billion. The histogram of total simulated costs visually confirms that a substantial portion of the simulated costs fall above the $2 billion budget threshold, with the distribution skewed towards higher costs.

Insights or Next Steps:
The **high probability of exceeding the $2 billion budget threshold** suggests that the current policy design, including the probabilities and cost distributions, is likely **unsustainable** within the set budget.

Further analysis should focus on identifying which specific policy components (groceries, free bus, rent freeze, or landlord costs) contribute most significantly to the overall cost and variability to explore potential cost-reduction strategies or adjustments to policy parameters.

Credits:

Goldman Sachs

Authored by Velan E, who is accountable for the analytical framework, Monte Carlo methodology, and interpretation of results.